IDM CAPITAL — INVESTMENT REQUEST FORM

1. Your Business Name

- **The Practice** (Owner: Andy Byrne)

2. Target Company Business Name

- **ALC Physio Ltd** (trading as ALC Physio)

3. Target Company Address

- **ALC Physio Ltd, Unit 17, Mulberry Avenue, Bristol, BS2 4LG**

4. Target Company Number

- **34328634**

5. Target Company Owner's Name

- **Anna Clitheroe**

6. Target Company EBITDA (Split by Site and Total)

- **Fair Adjusted Total EBITDA Range: £144,702.40 – £149,686.86** (vs. **£140,556.30** with seller's proposed adjustments only, and **£109,864.23** on the unadjusted draft P&L).

EBITDA Basis / Adjustment Stage (2025–26 P&L)	Clinic 1	Clinic 2	Clinic 3	Total EBITDA
1. Unadjusted Draft P&L (Per Accountant Spreadsheet)	£69,612.00	£41,376.73	-£1,124.50	£109,864.23
+ Seller Adjustments (Owner Wage/NI & C3 Set-up)	+£11,400.00	+£11,400.00	+£7,892.07	+£30,692.07
2. Adjusted EBITDA (Seller Proposed Adjustments Only)	**£81,012.00**	**£52,776.73**	**£6,767.57**	**£140,556.30**
+ Equipment Depreciation Add-Back (Row 43 Error)	+£1,342.45	+£1,043.67	+£1,759.98	+£4,146.10
3. Confirmed Fair EBITDA (Lower Bound)	**£82,354.45**	**£53,820.40**	**£8,527.55**	**£144,702.40**
+ Duplicate Web Expense Removal (TBC with Seller)	+£2,104.50	+£1,904.51	+£975.45	+£4,984.46
4. Fully Adjusted Fair EBITDA (Upper Bound)	**£84,458.95**	**£55,724.91**	**£9,503.00**	**£149,686.86**

  - *Alternative permutation (Seller Adjustments + Duplicate Web removal without Depreciation add-back):* **Clinic 1: £83,116.50 | Clinic 2: £54,681.24 | Clinic 3: £7,743.02 | Total: £145,540.76.**

7. Multipliers Used

- **Clinic 1 — 1.4x EBITDA:** Standard IDM multiple (standalone clinic, established 8 years, 5 rooms + rehab area).
- **Clinic 2 — 1.4x EBITDA:** Standard IDM multiple (flagship purpose-built standalone clinic, established 16 years, 6 rooms + large rehab area).
- **Clinic 3 — 1.4x less 15% discount (Effective 1.19x EBITDA):** Standard 1.4x multiple reduced by 15% in our favour as it is not a standalone clinic (established 1 year, 2 rooms inside Kennark's Gym).

8. Overall Valuation

- **Recommended Fair Valuation Range: £200,792.57 – £207,565.97** (or **£195,357.63 – £207,565.97** if starting from seller-only adjustments before P&L accounting corrections).

Valuation Scenario	Clinic 1 (1.4x)	Clinic 2 (1.4x)	Clinic 3 (1.19x*)	Overall Valuation
1. Unadjusted Draft P&L Baseline	£97,456.80	£57,927.42	-£1,338.16	£154,046.07
2. Seller Proposed Adjustments Only	**£113,416.80**	**£73,887.42**	**£8,053.41**	**£195,357.63**
3. Confirmed Fair Baseline (Seller + Depr. Add-Back)	**£115,296.23**	**£75,348.56**	**£10,147.78**	**£200,792.57**
4. Seller Adjustments + Duplicate Web Only (Excl. Depr.)	£116,363.10	£76,553.74	£9,214.19	£202,131.03
5. Upper Fair Valuation (Seller + Depr. + Duplicate Web)	**£118,242.53**	**£78,014.87**	**£11,308.57**	**£207,565.97**

  - **Clinic 3 1.4x gross valuation less 15% discount:* Scenario 2: £9,474.60 less £1,421.19 = £8,053.41 | Scenario 3: £11,938.57 less £1,790.79 = £10,147.78 | Scenario 5: £13,304.20 less £1,995.63 = £11,308.57.

9. Description of How Valuation Was Arrived At (Adjustments & Rationale)

- **Agreed Adjustments in Seller's Favour (+£30,692.07 EBITDA / +£41,311.56 Valuation):**
  - **Owner Wage Replacement (Clinics 1 & 2):** Removed **£10,000.00/clinic** from Employed Clinician Salaries (Row 11; **+£20,000.00** total) as Anna Clitheroe is leaving and will be replaced by a cheaper clinician.
  - **Employer NI & Pension Reduction (Clinics 1 & 2):** Removed **£1,400.00/clinic** (14% rate per Row 12; **+£2,800.00** total). Combined wage/NI saving adds **+£11,400.00 EBITDA per clinic** (+£22,800.00 EBITDA; **+£31,920.00** valuation at 1.4x).

  - **Clinic 3 One-Off Set-Up Costs:** Removed **£7,892.07** from Clinic 3 Repairs, Maintenance & Testing (Row 26: £8,342.07 reduced to £450.00) for one-off Kennark's Gym fit-out costs (**+£9,391.56** valuation at 1.19x).
- **Accounting Adjustments in Seller's Favour from Draft P&L (For a Fair Offer):**
  - **Equipment Depreciation Add-Back (Confirmed P&L Error — Lower Bound):** Row 43 Equipment depreciation (**£1,342.45** C1; **£1,043.67** C2; **£1,759.98** C3; **£4,146.10 total**) was deducted inside Operating Expenses (Row 44). As EBITDA is *Before Depreciation*, adding it back adds **+£4,146.10** EBITDA and **+£5,434.94** to valuation (reaching **£200,792.57**).
  - **Suspected Duplicate Web Expense (To Confirm with Seller — Upper Bound):** Row 31 (Web support services) and Row 35 (Website, SEO & Content) show identical costs across all clinics (**£2,104.50** C1; **£1,904.51** C2; **£975.45** C3; **£4,984.46 total**). If confirmed as double-counted in the unchecked accounts, removing one line adds **+£4,984.46** EBITDA and **+£6,773.40** valuation (reaching **£207,565.97**).
- **Adjustments & Commercial Protections in Our Favour (Buyer Protection):**
  - **15% Non-Standalone Discount on Clinic 3:** Deducted 15% from Clinic 3's 1.4x figure (effective **1.19x** multiple) as it operates inside Kennark's Gym rather than standalone, reducing our offer by **-£1,790.79** (lower bound) to **-£1,995.63** (upper bound), or **-£1,421.19** on seller-only adjustments.
  - **Fee Cap & Clinic 3 Overheads Check:** ALC's fees (£70 initial, £50 follow-up; massage £60/£40; ~£88/hr full-book yield vs. our £86.95/hr across 58 hrs/wk) match our pricing, limiting quick-win fee rises. Due diligence will also verify Clinic 3's £0.00 entries for Reception wages (Row 28) and rates/utilities/cleaning (Rows 23–25).